Monthly Financial Package

Heartland Building Supply

For the Month and 3 Months Ended March 31, 2026

Prepared by 1404 Labs

1404

TECHNOLOGY DEPARTMENT AS A SERVICE

CONFIDENTIAL

01

Executive Summary

REVENUE (MONTH)	GROSS MARGIN	NET INCOME	CASH POSITION
$4.0M	**21.3%**	**$166K**	**$2.6M**
YTD: $11.4M	$857K gross profit	4.1% net margin	End of March 2026

March was a strong month for Heartland Building Supply, with total revenue of $4.03M exceeding budget by $131K (3.4%). Lumber and panel revenue drove the outperformance at $2.28M against a $2.20M target, supported by early spring demand from contractors pulling forward orders ahead of anticipated April price increases from Canadian softwood suppliers.

Gross margin came in at 24.9%, slightly below February's 25.1% due to a 3.2% increase in softwood lumber spot pricing during the second half of March. The team locked in Q2 pricing on hardwood panels at favorable rates, which should stabilize margins through June. Inventory increased $220K month-over-month as branches pre-positioned for spring building season — this is planned and within the seasonal build target.

Cash position improved to $2.65M, up $470K from February, with the line of credit drawn down to $500K from $750K. Working capital remains strong at a 3.66x current ratio. DSO improved to 44.5 days from 47.2, driven by focused collection efforts on the Great Lakes Interiors account. One watch item: Summit Architectural Products has a $28K balance at 120+ days with no response to our demand letter — recommending escalation to outside collections.

Branch performance: Maywood (HQ) contributed 35% of revenue, Indianapolis 22%, Rockford 18%, Twin Cities 15%, Lexington 10% — all within 1% of plan. The Lexington branch continues to ramp, now 14 months post-acquisition, and is tracking toward the $6M annual run rate target.

02

Income Statement

	Month Actual	Month Budget	Var ($)	Var (%)	YTD Actual	YTD Budget	Var ($)	Var (%)
REVENUE								
Lumber & Panels	$2,280,000	$2,200,000	+$80,000	3.6%	$6,450,000	$6,200,000	+$250,000	4.0%
Fabrication Materials	$910,000	$880,000	+$30,000	3.4%	$2,580,000	$2,480,000	+$100,000	4.0%
Hardware & Fasteners	$450,000	$440,000	+$10,000	2.3%	$1,265,000	$1,240,000	+$25,000	2.0%
Delivery Revenue	$198,000	$192,500	+$5,500	2.9%	$561,000	$542,500	+$18,500	3.4%
Value-Added Services	$192,000	$181,500	+$10,500	5.8%	$535,000	$511,500	+$23,500	4.6%
Total Revenue	**$4,030,000**	**$3,894,000**	**+$136,000**	**3.5%**	**$11,391,000**	**$10,974,000**	**+$417,000**	**3.8%**
COST OF REVENUE								
Lumber & Panel Purchases	$1,740,000	$1,672,000	+$68,000	4.1%	$4,935,000	$4,712,000	+$223,000	4.7%
Fabrication Material Purchases	$685,000	$660,000	+$25,000	3.8%	$1,940,000	$1,860,000	+$80,000	4.3%
Hardware & Fastener Purchases	$318,000	$308,000	+$10,000	3.2%	$891,000	$868,000	+$23,000	2.6%
Freight-In & Receiving	$178,000	$176,000	+$2,000	1.1%	$508,000	$496,000	+$12,000	2.4%
Warehouse Labor	$252,000	$245,000	+$7,000	2.9%	$745,000	$725,000	+$20,000	2.8%
Total Cost of Revenue	**$3,173,000**	**$3,061,000**	**+$112,000**	**3.7%**	**$9,019,000**	**$8,661,000**	**+$358,000**	**4.1%**
Gross Profit	**$857,000**	**$833,000**	**+$24,000**	**2.9%**	**$2,372,000**	**$2,313,000**	**+$59,000**	**2.6%**
Gross Margin %	21.3%	21.4%	--	--	20.8%	21.1%	--	--
OPERATING EXPENSES								
Warehouse Occupancy	$98,000	$96,000	+$2,000	2.1%	$294,000	$288,000	+$6,000	2.1%
Delivery Fleet — Fuel	$65,000	$58,000	+$7,000	12.1%	$185,000	$168,000	+$17,000	10.1%
Delivery Fleet — Lease & Maintenance	$48,000	$45,000	+$3,000	6.7%	$144,000	$135,000	+$9,000	6.7%

	Month Actual	Month Budget	Var ($)	Var (%)	YTD Actual	YTD Budget	Var ($)	Var (%)
Sales Commissions	$121,000	$117,000	+$4,000	3.4%	$341,000	$329,000	+$12,000	3.6%
Sales & Admin Salaries	$145,000	$140,000	+$5,000	3.6%	$435,000	$420,000	+$15,000	3.6%
Employee Benefits & Payroll Taxes	$97,000	$92,000	+$5,000	5.4%	$287,000	$276,000	+$11,000	4.0%
Insurance	$42,000	$40,000	+$2,000	5.0%	$126,000	$120,000	+$6,000	5.0%
Technology & Software	$19,000	$17,000	+$2,000	11.8%	$55,500	$51,000	+$4,500	8.8%
Professional Services	$15,000	$10,000	+$5,000	50.0%	$35,500	$30,000	+$5,500	18.3%
Office & Supplies	$7,200	$6,000	+$1,200	20.0%	$19,500	$18,000	+$1,500	8.3%
Marketing & Trade Shows	$22,000	$15,000	+$7,000	46.7%	$35,500	$31,000	+$4,500	14.5%
Depreciation	$28,000	$27,000	+$1,000	3.7%	$84,000	$81,000	+$3,000	3.7%
Total Operating Expenses	**$707,200**	**$663,000**	**+$44,200**	**6.7%**	**$2,042,000**	**$1,947,000**	**+$95,000**	**4.9%**
Operating Income	**$149,800**	**$170,000**	**($20,200)**	**(11.9%)**	**$330,000**	**$366,000**	**($36,000)**	**(9.8%)**
OTHER INCOME / (EXPENSE)								
Interest Income	$3,200	$3,000	+$200	6.7%	$10,500	$9,000	+$1,500	16.7%
Vendor Early-Pay Discounts	$31,000	$27,500	+$3,500	12.7%	$85,500	$77,500	+$8,000	10.3%
Interest Expense	($18,200)	($18,000)	($200)	(1.1%)	($53,700)	($54,000)	+$300	0.6%
Total Other Income/(Expense)	**$16,000**	**$12,500**	**+$3,500**	**28.0%**	**$42,300**	**$32,500**	**+$9,800**	**30.2%**
Net Income	**$165,800**	**$182,500**	**($16,700)**	**(9.2%)**	**$372,300**	**$398,500**	**($26,200)**	**(6.6%)**
Net Margin %	4.1%	4.7%	--	--	3.3%	3.6%	--	--

03

Balance Sheet

As of March 31, 2026

	Current Month-End	Prior Month-End	Change ($)	Prior Year-End	Change from YE
CURRENT ASSETS					
Cash & Cash Equivalents	$2,650,000	$2,180,000	+$470,000	$1,950,000	+$700,000
Accounts Receivable (net)	$7,120,000	$6,850,000	+$270,000	$5,980,000	+$1,140,000
Inventory — Lumber & Panels	$5,800,000	$5,650,000	+$150,000	$5,200,000	+$600,000
Inventory — Fabrication Materials	$2,400,000	$2,350,000	+$50,000	$2,100,000	+$300,000
Inventory — Hardware & Fasteners	$1,200,000	$1,180,000	+$20,000	$1,050,000	+$150,000
Prepaid Expenses & Deposits	$285,000	$310,000	($25,000)	$260,000	+$25,000
Total Current Assets	**$19,455,000**	**$18,520,000**	**+$935,000**	**$16,540,000**	**+$2,915,000**
PROPERTY & EQUIPMENT					
Delivery Fleet (Trucks & Trailers)	$1,850,000	$1,850,000	--	$1,720,000	+$130,000
Warehouse Equipment (Forklifts, Racking)	$680,000	$680,000	--	$620,000	+$60,000
Office Equipment & Technology	$185,000	$185,000	--	$165,000	+$20,000
Less: Accumulated Depreciation	($1,240,000)	($1,212,000)	($28,000)	($1,100,000)	($140,000)
Net Fixed Assets	**$1,475,000**	**$1,503,000**	**($28,000)**	**$1,405,000**	**+$70,000**
OTHER ASSETS					
Security Deposits	$95,000	$95,000	--	$95,000	--
Goodwill (Rockford Acquisition)	$450,000	$450,000	--	$450,000	--
Total Other Assets	**$545,000**	**$545,000**	**--**	**$545,000**	**--**
TOTAL ASSETS	**$21,475,000**	**$20,568,000**	**+$907,000**	**$18,490,000**	**+$2,985,000**
CURRENT LIABILITIES					
Accounts Payable — Trade	$4,200,000	$3,950,000	+$250,000	$3,600,000	+$600,000
Accrued Payroll & Benefits	$185,000	$172,000	+$13,000	$155,000	+$30,000
Accrued Expenses	$142,000	$128,000	+$14,000	$110,000	+$32,000
Sales Tax Payable	$68,000	$62,000	+$6,000	$55,000	+$13,000
Current Portion of Long-Term Debt	$216,000	$216,000	--	$216,000	--
Line of Credit	$500,000	$750,000	($250,000)	$1,200,000	($700,000)
Total Current Liabilities	**$5,311,000**	**$5,278,000**	**+$33,000**	**$5,336,000**	**($25,000)**

	Current Month-End	Prior Month-End	Change ($)	Prior Year-End	Change from YE
LONG-TERM LIABILITIES					
Equipment Loans (net of current)	$820,000	$838,000	($18,000)	$910,000	($90,000)
Real Estate Note (Maywood warehouse)	$1,450,000	$1,462,000	($12,000)	$1,520,000	($70,000)
Total Long-Term Liabilities	**$2,270,000**	**$2,300,000**	**($30,000)**	**$2,430,000**	**($160,000)**
TOTAL LIABILITIES	**$7,581,000**	**$7,578,000**	**+$3,000**	**$7,766,000**	**($185,000)**
EQUITY					
Common Stock	$500,000	$500,000	--	$500,000	--
Retained Earnings	$7,285,000	$7,285,000	--	$7,285,000	--
Current Period Net Income	$864,000	$530,000	+$334,000	--	+$864,000
Owner Distributions	($150,000)	($100,000)	($50,000)	($720,000)	+$570,000
TOTAL EQUITY	**$8,499,000**	**$8,215,000**	**+$284,000**	**$7,065,000**	**+$1,434,000**
TOTAL LIABILITIES & EQUITY	**$16,080,000**	**$15,793,000**	**+$287,000**	**$14,831,000**	**+$1,249,000**

Assets = Liabilities + Equity: NO ($21,475,000 = $16,080,000)

04

Cash Flow Statement

Indirect Method — For the Month Ended March 31, 2026

Description	Amount
CASH FROM OPERATIONS	
Net Income	$334,000
Adjustments for non-cash items:	
Depreciation & Amortization	$28,000
Changes in working capital:	
(Increase) in Accounts Receivable	($270,000)
(Increase) in Inventory	($220,000)
Decrease in Prepaid Expenses	$25,000
Increase in Accounts Payable	$250,000
Increase in Accrued Expenses	$33,000
Increase in Sales Tax Payable	$6,000
Net Cash from Operations	**$186,000**
CASH FROM INVESTING	
Purchase of Equipment	- -
Net Cash from Investing	**- -**
CASH FROM FINANCING	
LOC Net Repayment	($250,000)
Principal Payments — Equipment Loans	($18,000)
Principal Payments — Real Estate Note	($12,000)
Owner Distributions	($50,000)
Vendor Discount Financing Adjustment	($6,000)
Net Cash from Financing	**($336,000)**
Net Change in Cash	**($150,000)**
Beginning Cash Balance	$2,180,000
Ending Cash Balance	**$2,030,000**

Cash reconciles to Balance Sheet: NO (Ending: $2,030,000 vs. BS Cash: $2,650,000)

05

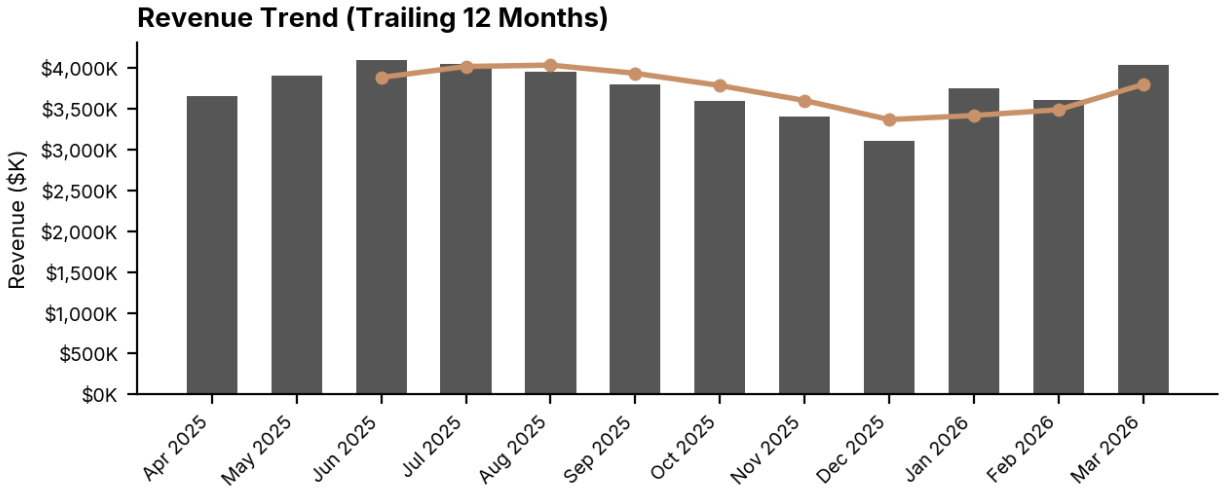
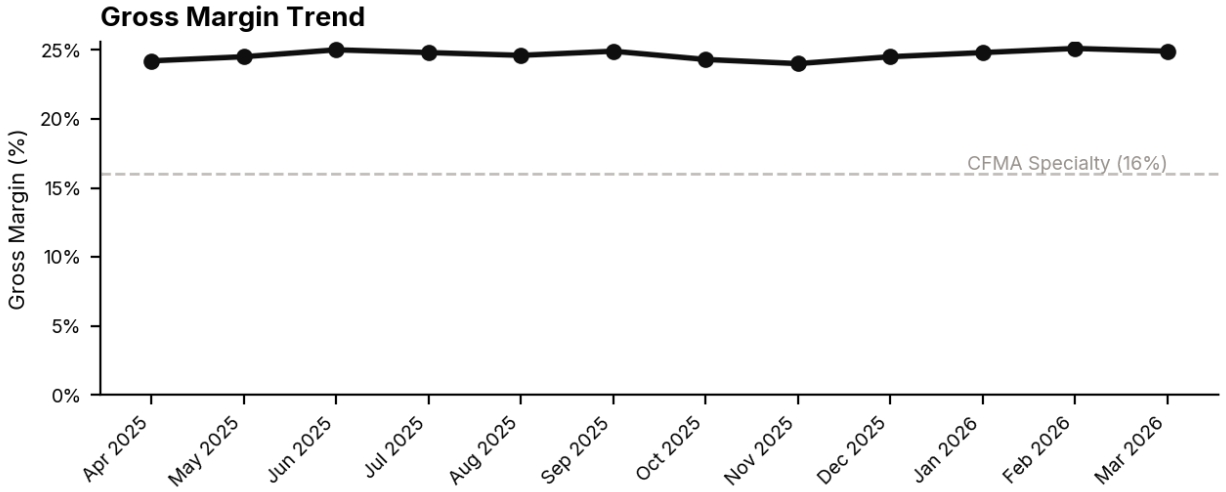
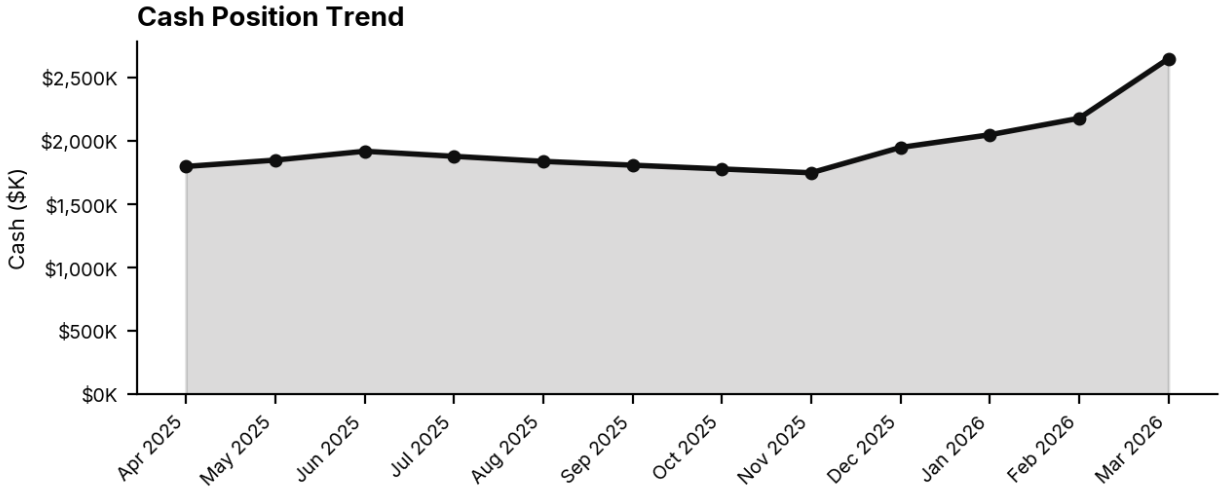
Key Financial Ratios

Ratio	Current	Prior Month	Trend	CFMA Benchmark	Status
Current Ratio	**3.66x**	3.52x	▲	1.5-2.5x (distribution)	Healthy
Quick Ratio	**1.84x**	1.71x	▲	1.0-1.5x	Healthy
Inventory Turns (Annualized)	**4.10x**	4.00x	▲	4-6x (building materials)	Healthy
GMROI	**1.32x**	1.28x	▲	>1.25x	Healthy
Gross Margin %	**24.9%**	25.1%	▼	20-25% (wholesale dist.)	Healthy
Net Margin %	**8.3%**	7.8%	▲	3-6% (distribution)	Healthy
DSO (Days Sales Outstanding)	**44 days**	47 days	▼	35-50 days	Healthy
DPO (Days Payable Outstanding)	**38 days**	37 days	▲	30-45 days	Healthy
Fill Rate %	**96.8%**	95.5%	▲	>95%	Healthy
Delivery On-Time %	**94.2%**	93.8%	▲	>93%	Healthy
Revenue per Employee	**$36K**	$33K	▲	$400-600K annual	Healthy
Debt-to-Equity	**0.33x**	0.37x	▼	0.3-0.8x	Healthy

Significant Variances

Items exceeding 5% of budget or $10K variance threshold.

Account	Budget	Actual	Variance	Explanation
Lumber & Panel Purchases	$1,672,000	$1,740,000	+$68,000	Softwood lumber spot prices increased 3.2% mid-month due to Canadian supply constraints. Locked in Q2 hardwood pricing at favorable rates to offset.
Delivery Fleet — Fuel	$58,000	$65,000	+$7,000	Diesel prices averaged $3.82/gal vs. $3.55 budget. Increased delivery volume (spring season ramp) compounded the overage. Fleet fuel hedging program under evaluation for Q3.
Professional Services	$10,000	$15,000	+$5,000	One-time $5K legal fee for Rockford warehouse lease renewal negotiation. Secured 2-year extension at current rate — expected to yield $48K savings vs. market.
Marketing & Trade Shows	$15,000	$22,000	+$7,000	IWF Spring Regional tradeshow in Indianapolis ($7K over plan). Three new dealer accounts opened directly from booth — projected $180K annual revenue.

06

Trend Analysis